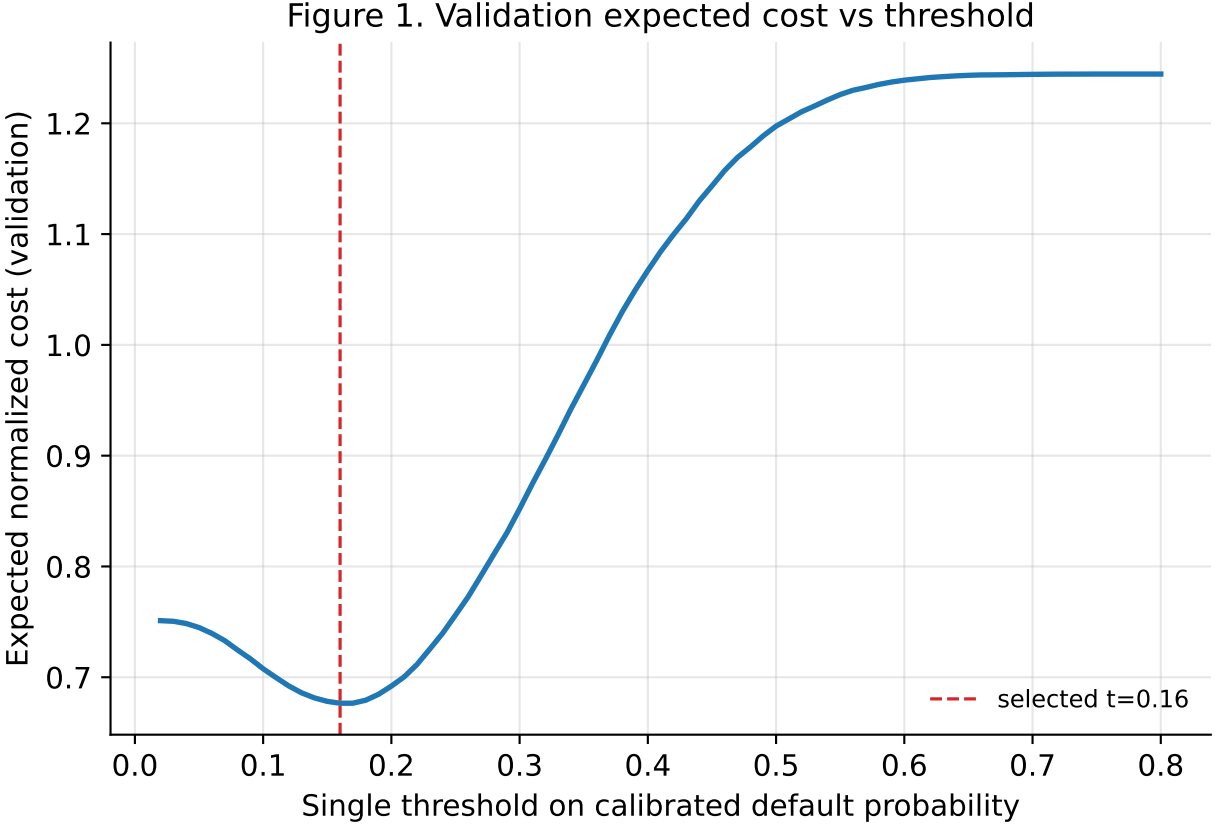
Figure 1. Validation expected cost vs threshold
Expected normalized cost (validation)
1.2
1.1
1.0
0.9
0.8
0.7
selected t=0.16
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.8
Single threshold on calibrated default probability